Axis Max Life

Five blockers and a deal — negotiating IP, penalties and step-in on a fixed-bid build

Five clause families decided whether a technically strong bid could be signed at all. Each one has a legitimate interest on both sides, and each has a construct that resolves it — if it is raised before the solution is frozen rather than after.

5	3	2	1	17	0
clause families at impasse	internal contradictions	resolvable by construct	genuine walk-away test	month fixed-bid term	resolvable after signature

DEAL SHAPE · FIXED-BID IMPLEMENTATION, PRODUCT-BASED DELIVERY

Client requires a bespoke in-house build with full ownership · supplier delivers a configured product and retains it

Aditya Singh · Commercial analysis authored for leadership deal review · 2026

Client, vendor and incumbent positions are generalised into clause families. No live negotiating position, price or outcome is disclosed.

Every one of the five has a legitimate interest behind it — which is why they are resolvable by construct, and why treating them as positions makes them permanent

Situation

A fixed-bid implementation for a major insurer, delivered by configuring a product rather than building bespoke software.

Functional fit is strong. Effort, phasing and team shape are agreed in principle. The technical conversation is essentially finished.

Complication

Five clause families sit at impasse: intellectual-property and source ownership, exit and transfer assistance, refund on termination for cause, step-in rights, and delay penalties.

Each is stated as a position — the client requires it, the supplier does not accept it. Stated that way, none of them moves, and a deal with strong technical fit stalls at legal review.

The approach

Go behind each stated position to the interest it protects. Four of the five turn out to protect interests that a construct can satisfy without either side conceding the position.

The fifth is a genuine walk-away test and should be treated as one — assessed on its own, early, rather than discovered at signature.

THE NUMBERS THAT MATTER

5	**4**	**1**	**3**	**2**	**0**
clause families	resolvable by construct	genuine walk-away	internal contradictions	watch items behind them	that improve after signature

The discipline this argues for: commercial terms are assessed in parallel with the solution, not after it. A clause family raised in week two is a design constraint; the same clause raised at contract review is a stalled deal with sunk bid cost behind it.

Clause families are generalised from a real negotiation; the interests, constructs and sequencing are analysis, and no live position or outcome is disclosed

GENERALISED

Deal context

The shape of the commercial impasse, generalised from a fixed-bid product implementation in insurance distribution.

- Fixed-bid, product-based delivery
- Client seeks bespoke-build terms
- Five clause families at impasse
- Two watch items behind them
- Multi-year term with hypercare
- Named and retained team required

COMMERCIAL ANALYSIS

My contribution

The interest analysis behind each position, the resolving constructs, the contradiction findings and the negotiation sequence.

- Position-to-interest mapping
- Resolving construct per family
- Contradiction identification
- Concession sequencing
- Walk-away test definition
- Decision framework for leadership

JUDGEMENT

Assessed

Severity ratings and sequencing are commercial judgement, not legal advice and not a firm's standard position.

- Severity and movability ratings
- Recommended concession order
- Construct suitability
- Not legal advice
- Not a firm's policy position
- Method transfers unchanged

OUT OF SCOPE

Not claimed

Deliberately excluded. This is a method deck about clause structure, not a record of a negotiation.

- Any party's actual position
- Any price, rate or liability figure
- How the negotiation concluded
- Whether the deal was signed
- Any contract or legal document
- Any counsel's opinion

Source: Author's commercial analysis — clause structures generalised, no live position disclosed

Five clause families, each asked for a reason and each resisted for a reason — none of which is visible while both sides state positions

Clause family	What the client asks for	Why a product supplier resists	Movability
Intellectual property and source	All intellectual property and source code vest in the client	Handing over a platform also sold to the client's competitors	By construct
Exit and transfer assistance	Full transition support to the client or a successor at no cost	Open-ended obligation with no cap on effort or duration	By construct
Termination for cause	All payments treated as advances, fully refundable on cause	Converts delivered, accepted work into contingent revenue	By construct
Step-in rights	Client may deploy an alternate supplier at the incumbent's cost	Unbounded liability triggered by a unilateral determination	By construct
Delay penalties	A percentage per week of delay, to a substantial cap	Penalises schedule risk the supplier does not solely control	Genuine test

What they have in common

- Every one is a risk-allocation clause. None is about scope, price or capability.
- Every one was written for a bespoke-build contract and applied unchanged to a product implementation.
- That mismatch, not bad faith, produces the impasse.

Why stating positions freezes them

- “We require full ownership” and “we retain our IP” are both complete sentences with no overlap.
- Neither side can concede without conceding the whole point, so both hold.
- It then moves to escalation, which is slow and rarely produces a better clause.

What moves them

- Asking what each clause is protecting against, rather than what it says.
- Four of the five protect against a specific failure that a narrower instrument also prevents.
- The fifth protects something no construct removes — which makes it the actual decision.

Source: Author's commercial analysis of the clause structure

Each stated position protects a narrower interest — and once the interest is named, the range of acceptable instruments widens considerably

Intellectual property and source

THE INTEREST BEING PROTECTED

Continuity if the supplier fails, is acquired or withdraws the product. Freedom from unilateral price increases. Ability to change the system without permission.

WHAT ALSO SATISFIES IT

None of these requires owning the source. All are satisfied by operational control, a perpetual licence and escrow with defined release triggers.

Exit and transfer assistance

THE INTEREST BEING PROTECTED

Not being held hostage at renewal. A successor supplier able to take over without a standing start. No punitive exit cost.

WHAT ALSO SATISFIES IT

Satisfied by a defined transition service with a scoped duration, a documented handover pack and pre-agreed rates — not by an uncapped free obligation.

Termination for cause

THE INTEREST BEING PROTECTED

Not paying for work that was never delivered or was delivered unusably. A real consequence for non-performance.

WHAT ALSO SATISFIES IT

Satisfied by acceptance-linked milestone payments and a refund scope limited to unaccepted work — rather than treating all payments as advances.

Step-in rights

THE INTEREST BEING PROTECTED

The programme not stalling if the supplier cannot continue. Access to the environment, code and knowledge needed to keep going.

WHAT ALSO SATISFIES IT

Satisfied by escrow release triggers, documented environments and a named continuity plan — without an open-ended cost recovery attached.

Source: Author's commercial analysis of the clause structure

Four constructs resolve four of the five families — each gives the client the protection it needs without asking the supplier to concede the position

01

Source escrow with defined triggers

Source deposited with a third party, released to the client on named events: insolvency, acquisition by a competitor, product withdrawal, or sustained unremedied breach.

Continuity without transfer

02

Perpetual, transferable licence

A licence that survives the relationship, cannot be unilaterally repriced for the deployed scope, and permits the client to operate and configure without further consent.

Control without ownership

03

Scoped transition service

A defined exit package: duration, deliverables, knowledge transfer and pre-agreed rates. Priced, bounded and available on request rather than free and unlimited.

Exit without hostage risk

04

Acceptance-linked milestones

Payment released against accepted milestones, with refund scope limited to work not accepted. Replaces treating every payment as a contingent advance.

Consequence without contingency

The fifth family — and why it is different

Delay penalties are not resolved by a construct, because the interest behind them is genuine and unavoidable: the client is exposed to real cost if a distribution platform for 125,000 sellers arrives late, and it wants that exposure shared.

The supplier's resistance is equally genuine. On a programme embedded inside a client-owned application container, with client-side integration dependencies and client-side user acceptance, schedule risk is jointly held and a unilateral penalty allocates it to one party.

There are partial answers — penalties tied only to supplier-controlled milestones, relief events defined for client-caused delay, a cap proportionate to the fee at risk. But the underlying disagreement about who owns schedule risk on a jointly delivered programme does not disappear. It should be decided deliberately, early, as a walk-away test — not discovered at contract review after the bid has been paid for.

Source: Author's commercial analysis of the clause structure

Three requirements contradict each other inside the client's own documents — worth finding, because each one is an opening rather than a problem

01

Hypercare duration

ONE DOCUMENT SAYS

The scope of work specifies a short hypercare window with on-call support for critical incidents.

ANOTHER SAYS

The terms and conditions specify a period several times longer, automatically extended for each open critical issue.

Not a trap — different authors. Raising it invites the client to pick one, and the shorter definition is usually defensible if the acceptance criteria are tight.

02

Availability target

ONE DOCUMENT SAYS

Non-functional requirements state one availability figure for production and a lower one for non-production.

ANOTHER SAYS

The measures-of-success matrix elsewhere cites materially higher figures, up to five nines.

The difference between these is an order of magnitude in architecture and cost. Pinning it in the scope of work is worth more than any wording concession.

03

Licence treatment

ONE DOCUMENT SAYS

The tender requires full compliance with the scope of work at a single price.

ANOTHER SAYS

The licence and infrastructure are explicitly excluded from that price and expected to be procured separately.

Left unresolved, this becomes a scope-versus-price argument after award. Naming the boundary in the response converts it into an agreed assumption.

A contradiction inside the client's own documents is not an attack surface. It is an invitation to propose the version you can deliver.

Source: Author's commercial analysis of the clause structure

What to move first, what to trade and what to hold — the order matters more than the content of any single concession

01	**Move first, visibly** Scoped transition service and acceptance-linked milestones	Both are reasonable, both cost little, and conceding them early establishes that the supplier is negotiating rather than refusing. It also buys standing to hold the harder lines.
02	**Trade, do not concede** Escrow and perpetual licence in place of source transfer	Offer these as a package answering the ownership requirement, and ask for the ownership clause to be replaced rather than supplemented. A construct offered alongside the original clause resolves nothing.
03	**Bound, do not refuse** Step-in rights and liability cap	Accept the principle with defined triggers, notice, and a cost basis. A flat refusal reads as bad faith; a bounded version usually passes because the client's real concern was continuity.
04	**Decide, then hold** Delay penalties tied to supplier-controlled milestones only	This is the walk-away test. Decide the position before the negotiation, with relief events and a proportionate cap defined — and then do not move it incrementally under pressure.

The sequence exists so that the one position worth holding is reached with credibility intact — a supplier that has conceded nothing has no standing when it finally says no.

Source: Author's commercial analysis of the clause structure

Four questions that convert a clause debate into a decision — asked before the bid is finalised, not at contract review

01

Is the interest behind this clause one we can satisfy another way?

If yes, it is a construct problem and belongs with commercial and legal, not with the deal team. If no, it is a genuine allocation of risk and needs an executive decision.

02

What is the realistic cost if this clause is triggered?

Unbounded clauses are not equally dangerous. Step-in on a well-documented programme is survivable; an uncapped refund on a multi-year fixed bid is not. Size before you argue.

03

Would we accept this clause for a client half this size?

If the answer is no, the clause is being tolerated for strategic value rather than accepted on merit. That is a legitimate choice, but it should be made explicitly and recorded as such.

04

What is the sunk cost if we walk at contract stage instead of now?

Bid cost, opportunity cost and the reputational cost of withdrawing late. This is the number that makes early clause assessment obviously worth doing.

The recommendation this framework produced

Pursue. The functional fit is strong, the footprint is strategically significant, and four of five clause families have a construct that satisfies the client's underlying interest without conceding the position.

But resolve the commercial model before the solution is frozen. A construct proposed alongside a finished solution reads as a late caveat; the same construct proposed as part of the solution reads as design. That is a sequencing choice, and it is available only while the bid is still being written.

Source: Author's commercial analysis of the clause structure

WHAT TRANSFERS

Four rules for negotiating a fixed-bid product implementation

01	**Go behind the position to the interest**	“Full source ownership” is a position. Continuity, price protection and freedom to change are the interests — and escrow plus a perpetual licence satisfies all three without transferring the product.
02	**Check whether the clauses fit the contract type**	Most impasses come from bespoke-build clauses applied unchanged to a product implementation. Naming that mismatch is more productive than arguing each clause on its wording.
03	**Sequence concessions to earn standing**	Move first on the reasonable, low-cost families. A supplier that has conceded nothing has no credibility when it finally refuses — and the one refusal that matters needs that credibility.
04	**Assess clauses in parallel with the solution**	A clause family raised in week two is a design constraint. The same clause at contract review is a stalled deal with the whole bid cost already sunk behind it.

Four of five commercial impasses are constructs waiting to be found. The fifth is a real decision about who owns risk — and it deserves to be taken deliberately and early, not discovered at signature.

Source: Author's commercial analysis of the clause structure